

4 October 2019

Terms and Conditions for Licensed Corporations which Manage Portfolios that Invest in Virtual Assets

On 1 November 2018, the Securities and Futures Commission (SFC) issued a Statement on regulatory framework for virtual asset portfolio managers, fund distributors and trading platform operators. Among other things, the SFC announced that terms and conditions will be imposed on licensed corporations which manage or plan to manage portfolios with (i) a stated investment objective to invest in virtual assets; or (ii) an intention to invest 10% or more of the gross asset value of the portfolio in virtual assets (collectively referred to as “Virtual Asset Fund Managers”).

The proforma set of terms and conditions is now available on the SFC’s website¹. Going forward, these terms and conditions will be imposed on all Virtual Asset Fund Managers, subject to minor variations and elaborations depending on individual Virtual Asset Fund Manager’s business model and circumstances.

Should you have any queries regarding the contents of this circular, please contact your case officer.

Intermediaries Division
Securities and Futures Commission

End

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¹ [https://www.sfc.hk/web/EN/files/IS/publications/VA_Portfolio_Managers_Terms_and_Conditions_\(EN\).pdf](https://www.sfc.hk/web/EN/files/IS/publications/VA_Portfolio_Managers_Terms_and_Conditions_(EN).pdf)